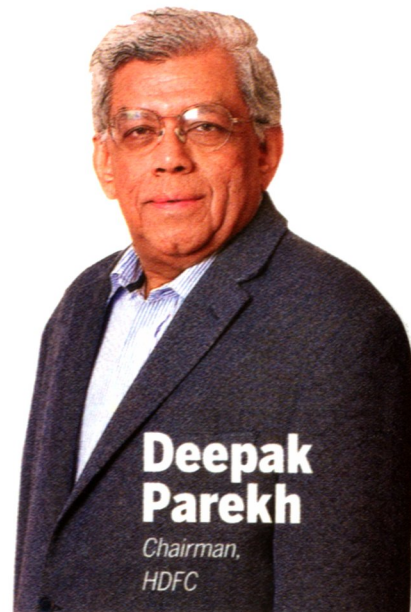




B. Muthuraman
Managing Director,
TATA STEEL

NISHIKANT GAMRE



Deepak Parekh
Chairman,
HDFC

UMESH GOSWAMI

Is the rise in markets and faint glimmer of feelgood factor for real or an illusion?

The feelgood factor is for real. The Indian economy should get back in better shape in about six to nine months. The nation's verdict for a stable government, growth in demand for steel, automobiles and a good monsoon will also play a part.

Can we say the worst is over for India?

The worst may be over, but a complete turnaround would require sustained focus on promoting demand and investment and enhanced credit to industry.

Can the revival of growth in India be decoupled from global horror stories?

No economy has been completely immune. The world of today has strong financial and trade linkages but India was shielded from full impact by the positives in its growth story.

When do you expect the Indian economy to turn around?

In my view, it may take about six months before the results of the current measures begin to show but it would take a while longer before the Indian economy gets back to the state we witnessed prior to the meltdown.

Are there any signs you would watch out for to signal the return of growth?

Movement in ocean freight rates—a surrogate for intensity of global trade—and rise in consumption of basic metals signals revival in key sectors. Other factors are agricultural output and credit offtake.

There certainly is a sense of wary optimism. Elections have delivered the much-needed stable government that can pursue a reform-oriented agenda. The markets have been euphoric but hopefully people know that there is no overnight change or gain.

Yes, the worst is over. I don't think we'll have another situation like last October when there was a credit freeze. But challenges like rising fiscal deficit remain.

On the global revival front, India is ahead of the curve as its growth is not dependent on exports, but is driven by domestic demand and consumption.

I think the turnaround has already started, though its impact may be more evident by the second quarter of the current financial year.

Industrial output, foodgrain production and credit disbursal—both to companies and individuals—are vital signs. I would also look at employment figures, particularly when the IT sector resumes recruitment.

3 STEPS THE GOVERNMENT MUST TAKE

- Promote infrastructure creation.
- Improve liquidity in the system for enhanced industrial and business activity.
- Control inflation while driving economic growth.

- Target 8.5 per cent growth again by pushing core projects.
- Push economic reforms by passing stalled Bills.
- Cut non-merit subsidies and hike spending on health and education.